Category
Analyzing Statements of Cash Flows I

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LINKAGES BETWEEN THE FINANCIAL STATEMENTS

Learning Outcome

- describe how the cash flow statement is linked to the income statement and the balance sheet

Primary Financial Statements

Recall that the four primary financial statements are interrelated and each provides specific information to analysts about an entity. The primary financial statements are as follows:

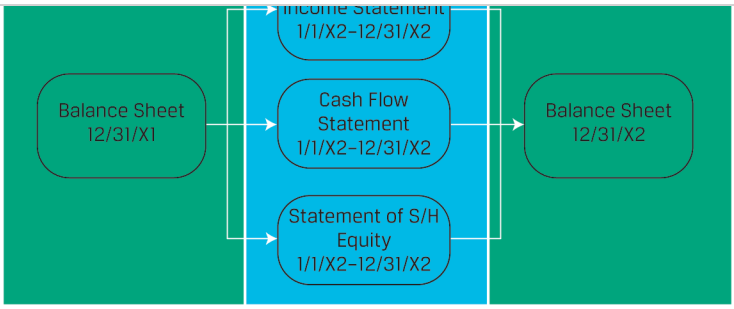
1. Balance Sheet—shows the financial position of an entity *at a point in time*, reporting the balances of "permanent" or "stock" accounts showing the entity's assets and how those assets are financed.
2. Income Statement—provides information about a company's financial performance between balance sheet dates. The income statement is made up of revenue, expense, gain, and loss accounts. In contrast to the balance sheet, the income statement is a "flow" statement as it captures income activity between two balance sheet dates. Income statements prepared under IFRS or US GAAP are based on accrual accounting, so they do not necessarily reflect cash inflows and outflows.
3. Statement of Cash Flows—reports the change in an entity's cash, cash equivalents, and restricted cash between balance sheet dates. The statement classifies cash inflows and outflows during the period as operating, investing, or financing activities. Because the cash flow statement reports performance over a period of time, it is also a "flow" statement, like the income statement.
4. Statement of Shareholder's Equity—provides information about how a company's equity has changed between balance sheet dates. The statement identifies the significant components of shareholders equity that are reported on the balance sheet (e.g., common stock and retained earnings) and the activities that occurred during the period that impacted these accounts (e.g., share issuance, net income or loss). Like the income statement and statement of cash flows, the statement of shareholders equity is also a "flow" statement.

Relationship between Financial Statements

As illustrated in Exhibit 1, the income statement, cash flow statement and statement of shareholders' equity link the balance sheet from one period to the next.

Exhibit 1:

Relationship between the Financial Statements



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For example, the beginning and ending balances of cash are shown on the company's 20X1 and 20X2 balance sheets, and the bottom of the 20X2 cash flow statement reconciles 20X1 cash to 20X2 cash. The relationship, stated in general terms, is as shown in Exhibit 2.

Exhibit 2:

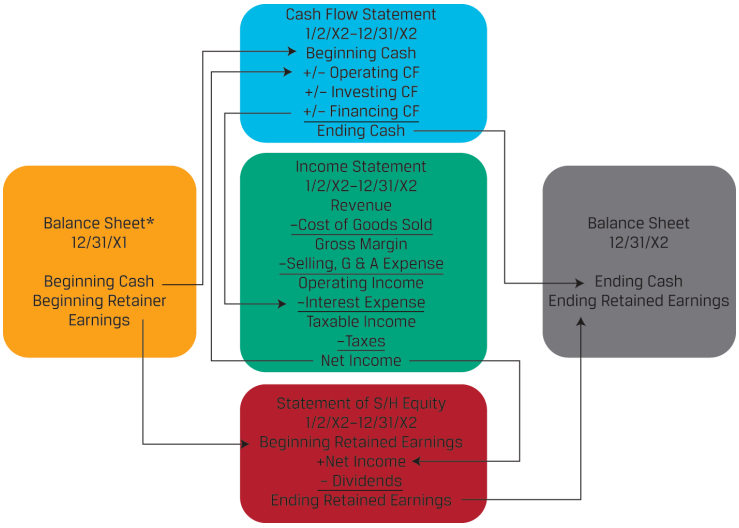
Beginning and Ending Balances

Balance Sheet at 31 December 20X1	Statement of Cash Flows for Year Ended 31 December 20X2		Balance Sheet at 31 December 20X2
Beginning cash (as of Year-end 31 December 20x1)	Plus: Cash inflows (from operating, investing, and financing activities)	Less: Cash outflows (for operating, investing, and financing activities)	**Ending cash (as of Year-end 31 December 20x2)**

Exhibit 3 adds greater detail to Exhibit 1, tracing specific linkages through the four financial statements.

Exhibit 3:

Interaction of Financial Statement Accounts



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For example, the 20X2 statement of shareholders' equity reconciles the equity accounts reported on 20X1 balance sheet to the equity accounts reported on the 20X2 balance sheet, including additions (or subtractions) resulting from net income or loss reported on

The income statement and statement of cash flows also provide key linkages between the current assets and current liabilities sections of the balance sheet. Differences between the accrual and cash accounting recognition of operating activities result in an increase or decrease in a current asset or liability on the balance sheet. For example, accrual basis revenue in excess of cash collections will be accompanied by an increase in accounts receivable. If expenses reported using accrual accounting are lower than cash actually paid, the result will typically be a decrease in accounts payable or another accrued liability account. Finally, in situations in which a company is paid in advance for the delivery of a service or product in the future, it will recognize the cash received as an asset, but it also must recognize a liability for its obligation to deliver service or product in the future, typically referred to as deferred revenue. A deferred revenue liability account is derecognized upon the recognition of revenue when the entity satisfies its performance obligations.

If an analyst knows beginning accounts receivable, revenues, and cash collected from customers, they can compute ending accounts receivable, as the accounts are linked as shown in Exhibit 4.

Exhibit 4:

Ending Accounts Receivable

Beginning Balance Sheet at 31 December 20X1	Income Statement for Year Ended 31 December 20X2	Statement of Cash Flows for Year Ended 31 December 20X2	Ending Balance Sheet at 31 December 20X2
Beginning accounts receivable	Plus: Revenues	Minus: Cash collected from customers	Equals: Ending accounts receivable

Understanding the interrelationships among the balance sheet, income statement, and cash flow statement is useful not only in evaluating the company's financial health but also in detecting accounting irregularities. Recall the extreme illustration of a hypothetical company that makes sales on account without regard to future collections and thus reports healthy sales and significant income on its income statement yet lacks cash inflow. Such a pattern would occur if a company improperly recognized revenue.

Example 1–Example 4 demonstrate how common business transactions affect a company's balance sheet, income statement, and statement of cash flows. Notice how all three financial statements are needed to fully account for the transactions.

EXAMPLE 1

Inventory Purchase and Sale Impact on Financial Statements

Assume fictional company ABC, a retailer, purchases USD100 of inventory on 1 January 1, 20X1 on credit with payment due to its supplier in 30 days. On 1 February, ABC sells the product to Customer X for USD150 with payment due by 16 February, 20X1. Customer X pays for the product on 15 February, 20X1.

This series of transaction would affect ABC's financial statements as follows shown in Exhibit 5.

Exhibit 5:

Date	Balance Sheet	Statement	Statement of Cash Flows
1 January	Inventory (asset) increases by USD100 Accounts Payable (liability) increases by USD100	N/A	N/A
30 January	Cash (asset) decreases by USD100 Accounts Payable (liability) decreases by USD100	N/A	Cash flows from operating activities decreases by USD100
1 February	Accounts Receivable (asset) increases by USD150 Inventory (asset) decreases by USD100	Revenue increases by USD150 Cost of sales increases by USD100	N/A
15 February	Cash (asset) increases by USD150 Accounts receivable (asset) decreases by USD150		Cash flows from operating activities increases by USD150

Note the statement of cash flows is affected only when the company pays or receives cash, which differs from recognition on the income statement.

EXAMPLE 2

Depreciation Impact on Financial Statements

On 1 January, fictional company Notion Ltd, a manufacturing company, owns USD100 of equipment used in the production of a product that is sold to wholesale customers. The equipment has a 10-year life and no salvage value. Notion uses straight-line depreciation, so the annual depreciation expense is USD10. On 1 July, Notion Ltd. makes a new capital investment for a different piece of equipment with a purchase price of USD200 and annual depreciation expense of USD50. Notion Ltd. pays for the equipment in cash upon receipt. Depreciation expense is recorded at the end of the fiscal year. The impact on Notion Ltd.'s financial statements is summarized in Exhibit 6.

Exhibit 6:

Notion Ltd. Financial Statement

Date	Balance Sheet	Income Statement	Statement of Cash Flows
1 January	Equipment (asset) of USD100	N/A	N/A
1 July	Equipment (asset) increases by USD200 Cash (asset) decreases by USD200	N/A	Cash flows from investing activities decreases by USD200
31 December	Accumulated Depreciation (contra asset) increases by USD35	Depreciation expense increases by USD35	N/A

Borrowing Impact on Financial Statements

On 31 March, fictional Geneva Company borrows USD500 from Stockholm Bank (also fictional). The terms of the loan are interest accrues at 10 percent and payment is due along with principal upon maturity of the loan on 30 September. Accordingly, Geneva is to pay USD525 to Stockholm Bank on 30 September consisting of USD500 in loan principal and USD25 of interest (USD500 loan × 10% × ½ year.) The impact on Geneva's financial statements is summarized in Exhibit 7.

Exhibit 7:

Geneva Financial Statement

Date	Balance Sheet	Income Statement	Statement of Cash Flows
31 March	Cash (asset) increases by USD500 Loans payable (liability) increases by USD500	N/A	Cash flows from financing activities increases by USD500
30 September	Cash (asset) decreases by USD525 Loans payable (liability) decreases by USD500	Interest expense increases by USD25	Cash flows from financing or operating activities decreases by USD25 Cash flows from financing activities decreases by USD500

EXAMPLE 4

Equipment Purchase Impact on Financial Statements

Assume Mountain Company, a fictional manufacturer, agrees to produce a custom-made piece of equipment for Cirrus Corp. (another fictional company) in two months for a sales price of USD1,000. On 1 October, Cirrus provides Mountain with a down payment of USD300 from Cirrus and agrees to pay the balance of USD700 when the equipment is delivered on 30 November. Mountain Company recognizes deferred revenue when it receives the USD300 on 1 October, which will be derecognized when Mountain fulfills its obligation and delivers the equipment. The impact on Mountain Company's financial statement is summarized in Exhibit 8.

Exhibit 8:

Mountain Company Financial Statement

Date	Balance Sheet	Income Statement	Statement of Cash Flows
1 October	Cash (asset) increases by USD300 Deferred revenue (liability) increases by USD300	N/A	Cash flows from operating activities increases by USD300

Deferred revenue (liability) decreases by USD300	USD1,000	USD700

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DA

Exhibit 8 : I think the "30 September" is an error... The remaining $700 is supposed to be paid on 30 November; and the unearned revenue of $ 300 also is supposed to be earned on the 30th of november.

Created 6 months ago by David ALAME KATEMBERA — 2 replies | Last Activity: a month ago

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SC

Hello all, in exhibit 6, why depreciation is 35? thank you,

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BW

Exhibit 8: Shouldn't there be a deduction of inventory (assets) in the Balance Sheet as of Nov 30? as well as costs of sales in the Income Statement?

Or, if there is no mention of the cost of manufacturing a product, do we not recognize it?

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AZ

again.. you guys keep asking questions from the next reading!

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NA

Exhibit 6: Depreciation expense should be 50+10?

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